

Author envisions global safety net

By TOM WALKER

Let's say you're a textile executive, moving up the management ladder at a large Southern mill. But 15 years into your career the mill is closed due to foreign competition or other reasons.

Your options are limited, especially if you are married and have kids and a mortgage. Savings won't last long, and unemployment insurance soon runs out.

Relocating isn't easy, and retraining is time-consuming and costly. You may have to take anything you can get just to earn a living.

But suppose you had a "livelihood insurance policy" — something that would protect you against the scale and duration of income loss you would suffer from the end of not just a job but a career.

That's one kind of insurance that Robert J. Shiller proposes in a new book that aims at nothing short of a "new financial order" in the world, one that provides broad protection against the major hazards and risks of life.

"We need some radical financial innovation to deal with the economic risks that we all face," said Shiller.

Shiller is the Yale economics professor who gained fame three years ago by accurately predicting that stocks were headed for a brutal bear market — where they still are. His book, "Irrational Exuberance," was published practically on the day the stock market's record-setting bubble burst.

The market is just one facet of Shiller's new book, "The New Financial Order: Risk in the 21st Century." It is just being released by Princeton University Press, with a price of \$29.95.

In essence, Shiller conceives of large-scale insurance — or "risk management" — funded by investors and governments that would provide protection far beyond the familiar casualty, health, homeowner and life insurance varieties.

The central idea is that even the big risks can be hedged, including social and economic problems.

"We need to develop insurance policies



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Yale professor Robert Shiller has written a book suggesting that even social and economic problems can be hedged.

that protect people against the risk of declines in their occupational incomes and the value of their homes," said Shiller. "We need to change the terms of loans such as mortgages and other debt away from loans at fixed interest rates toward loans whose interest adjusts up and down in line with the borrower's income."

Shiller proposes "inequality insurance." Income tax rates would be pegged to an index designed to prevent a widening of the gap between rich and poor.

Instead of Social Security as we know it, Shiller would change the system to guarantee a level of benefits tied to overall economic productivity and national wealth.

On a global scale, Shiller sees a process where "have" nations could "swap" the value of part of their future economic growth to "have-not" nations as an incentive for the latter to embark on new but costly growth plans.

Shiller concedes that his proposals would take a while to implement — but new ideas often do.

"I've been working on it for 10 years and wrote the first book in 1993. That was too soon," he said in an interview.

What's different now is the computer technology that makes such complex arrangements possible, he explained.

Shiller is also mindful that his plan has a utopian ring to it.

"Utopian is a bit strong. The original 'Utopia' by Sir Thomas More was a work of fiction. This is based on existing technology and institutions," he said.

Shiller cites the advent of home equity insurance as an example of a new kind of risk management that is widely used now.

Had it been available in the 1950s and '60s, he said, it could have been instrumental in saving whole inner-city neighborhoods as homeowners tried to cope with the exodus of jobs.

Shiller said complex financial arrangements are already becoming more common. Citibank, for example, arranged a \$1.87 billion loan to Bulgaria in 1994 with an interest rate tied to the growth rate of its economy.

More recently, Goldman Sachs and Deutsche Bank created a market for indexes that represent substantial economic risks, such as non-farm payroll and retail sales.

Harold D. Skipper, chairman of the risk management and insurance department at Georgia State University, agrees that the focus of his profession "is increasingly in the direction of nontraditional, or enterprise, risk management."

There's also no doubt that innovation in risk management "will enable us in the future to hedge risks that formerly we couldn't hedge against," he said.

But Skipper questions whether "inequality per se is a problem" for risk management to deal with.

"Should government care about massive inequality if it comes about because millions of Bill Gateses [co-founder of Microsoft] exist alongside even more millions of folks whose earnings fall 'only' in the six- and seven-figure range? The key issue is poverty reduction, in my judgment, not income inequality," said Skipper.

Shiller concedes that his proposals will take some getting used to, and not just by members of Congress and other policymakers. It will be an adjustment education job for individuals as well.

Does Shiller have a strategy for spreading the word?

The usual book tour is one, and he will also meet with members of Congress. But Shiller also has friends in high places: N. Gregory Mankiw, incoming chairman of the president's Council of Economic Advisers, was one of Shiller's students.

